

We just don't want a very bad inflation situation and we don't want major capital outflows out of India. The rest we can more or less manage.

A: Exactly! You put it very well, Udayan. [When] I think of all the competing objectives, these two are primarily important at the moment. It is about inflation, it is about the import bill, it is about, therefore, financing the current account deficit. And, then there are growth considerations since the bulk of our growth is indeed coming from domestic demand. These three factors and the combined beneficial effects of the growth slowdown in the developed world would help alleviate these concerns for us quite a bit and that I think dominates the negative impact on external demand, exports, etc. I think you summed it up really well.

Q: But having said that, Anantha, you would have noticed that over the last few weeks, a lot of observers—analysts, brokerages, even global think tanks—have started paring down growth expectations for India. So, they're saying that we may get 7 per cent-plus growth in 2022, but for 2023 some are down to 6.3-6.4 per cent, and one or two have gone down all the way to 5.5 per cent! Is that being alarmist or do you think it is probable?

A: I'm not sure why people have turned so pessimistic for growth in 2023-24 as far as India is concerned, compared to 2022-23. I guess it is partly because they think that with the post-pandemic catch-up now over, there will be more moderate growth given global conditions, weak external demand, etc. But even then, I think there is an underestimation, in the fact that India's potential growth is not as low as many of them might be thinking. I happened to attend a World Bank seminar on that a few weeks ago in Delhi. There, they looked up the last decade's capital formation and that was obviously a dismal capital formation scenario, because companies were

trimming their balance sheets, banks were trimming their balance sheets, and we experienced financial system stress. Now, if you take that into consideration and extrapolate on that basis, the potential GDP growth would obviously appear lower. But, I would argue that on the contrary, because we went through a balance sheet repair phase in the financial sector, both banking and non-banking, and in the corporate sector, once the current uncertainties regarding the pandemic and the conflict in Europe fade slowly over time, the opposite may happen. India may be poised to repeat, if not exactly in the same magnitude as we did between 2003 and 2008, the same sort of capex, or credit boom, as we experienced in the first decade of the new millennium. Therefore, I am at a loss to understand the pessimism on India's medium-term growth, starting 2023.

Q: That really is the crux of the matter because all of us have been hoping and dreaming of this resurgence of the capex cycle. In the last Budget as well, the Finance Minister tried to do her bit by shifting resources from revenue expenditure to capital expenditure in the hope it will crowd in private investment but let me ask you, frankly, what is the evidence of the last one year? Do you see substantial evidence that this crowding in of private capex has happened or not quite to the extent that was desired?

A: I think there are only nascent signs of that at the moment and the reasons are not hard to find. We were worried about a third wave until this January, and only after the month ended, we could heave a sigh of relief that the third wave wasn't as severe as we had feared. And as soon as the pandemic got over, the geopolitical conflict started, and for the next three months until early-June or mid-June, we were witnessing rising commodity [prices], oil prices, fertiliser prices, food prices, etc. Simultaneously, monetary policy tightening began to happen in the developed world starting from April. So, despite the fact that the corporate sector had witnessed rising profitability in 2021 and 2022, naturally, they would pull back and wait to invest when demand conditions became clearer. Therefore, to say that this crowding in hasn't materialised is to ignore the fact that we have been buffeted by temporary shocks which were very significant in nature. And that is why the government is still continuing to focus on its capital expenditure until such time the private sector is willing to go all out and use its improved profitability, improved balance sheet, and improved cash

“Inflation may be getting tamed precisely because financial markets and commodities markets have begun to price in the impact of the higher interest rates on economic growth”
